

want. Wandering into a dealership with no clear plan or preparation is the worst thing you can do; a car is not an impulse buy.

Kelley Blue Book (www.kbb.com) is an excellent place to get started. You can enter the make, model, year, and specifications of the car you are interested in, and it will provide you with the price range. This is extremely important because it lets you know what to expect in terms of price. When you have specific numbers ahead of time, it helps you determine whether or not a salesperson is giving you a reasonable or outrageous offer. Once you have a price in mind, you can begin looking for the car online using a site like CarMax, Carvana, CarGurus, and so on.

Once you have chosen a car and know its price, you need to think about how you will purchase it. My first suggestion would be to pay for it in cash. If you can save up enough money to do this, you avoid having to pay any interest. While this is the ideal choice, I understand it is not realistic for everyone because it requires much more cash on hand. Additionally, if you are trying to build up credit and can get a low enough interest rate, you may want to make a large down payment and pay the car off over a shorter period of time, like 36 months. The small amount you pay in interest may be worth the boost to your credit score and history.

Financing is the most common way people buy cars. Remember, if you are going to buy a \$14,000 car but only have \$2,000 for a down payment, you will need to finance \$12,000 and pay it off over a defined time period. To do this, you can get a loan through your bank or from the dealership itself. One option is not necessarily better than the other. You will need to compare the terms for the loans offered to you, but there are some specific benefits to each. Remember, the terms for your loan are going to